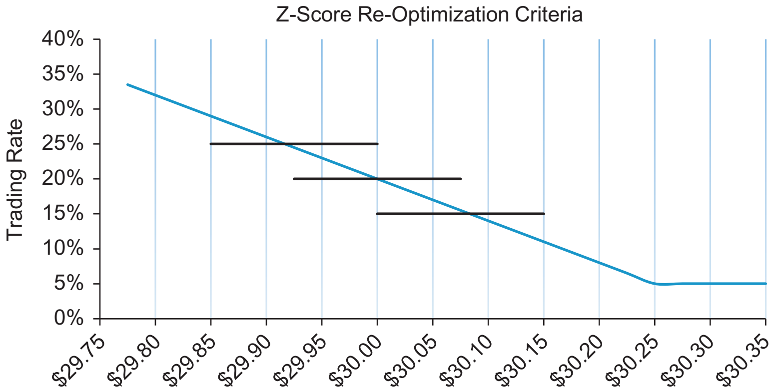

■ **Figure 8.5** Z-Score Re-Optimization Criteria.

because it is not updating continuously, after each trade, or based on a specified period of time.

An example of the z-score re-optimization criteria for a buy order is shown in Figure 8.5. At the current price of $30.00 the algorithm is transacting with a trading rate of 20%. The algorithm will continue to trade at this rate while price levels are between $29.92 and $30.08. If prices fall below $29.92 then the algorithm will increase to a trading rate of 25% and continue at this rate as long as prices are between $29.85 and $30.00. Notice that this logic does not return the trading algorithm to the original rate of 20% when prices move back above $29.92. If prices increase above $30.08 the trading rate will decrease to 15% and remain at this level while prices are between $30.00 and $30.15. Again, notice that the algorithm does not return to the original rate of 20% after the prices fall back below $30.08. It is important to point out in this example that at a market price of $30.00 it is possible for the algorithm to be transacting at three different trading rates: 15%, 20%, or 25%. This makes it increasingly difficult for any trader to decipher the intentions of the trading algorithm or goal of the trader.

The exact rate in use by the algorithm will be determined in part by current and forecasted market conditions, realized and projected trading costs, and the investor's z-score criteria. All of which makes it increasingly difficult to uncover the investor's execution strategy.